Extreme Networks, Inc. — Hold

(EXTR – $13.30 - intraday) Price Target: $13

Eric Martinuzzi, CFA
Senior Research Analyst
612-326-1315
eric.martinuzzi@lakestreetcm.com

Max Michaelis
Research Analyst
612-255-0831
max.michaelis@lakestreetcm.com

www.lakestreetcapitalmarkets.com

High Inventory Level In Channel Results In Massive Guidance Reset; Lowering PT To $13

Massive Guidance Reset – We initially suspected a typo when we saw Extreme's Q3 midpoint revenue guide of $205M vs the $321M consensus. But no, that is the correct figure and it is driven by elongated sales cycles in North America for both switching and wireless products. The company's outlook anticipates a $40M-$50M Q3(Mar) reduction in channel inventory will translate to a more normal balance between sell-through to end customers and sell-in to distribution. Put another way, Q3 revenue would be higher by the $40M-$50M figure if channel inventories were at normal levels.

Sales Stratification – Chief Commercial Officer Norman Rice (formerly COO) now heads up sales. He is putting in tighter controls around deal stratification and direct sales involvement. Transactions less than $50K will be 100% channel. The three other deal strata are $250K, $1.0M, and >$1.0M, and each layer up allows for—and requires—increased levels of direct sales involvement.

Cost Cuts Coming – Extreme plans to make personnel cuts in Q3 in order to drive a recovery in EPS and cash flow. Based on the Q4 outlook, which anticipates a sequential decline in opex, we estimate NG EPS in a range of $0.15-$0.20.

Lowering PT – While we expect y/y growth to return in the second half of FY25, near-term macro headwinds are translating into top line contraction. We lowered our estimates and our price target.

HIGHLIGHTS

- **Results, Outlook –** Extreme reported Q2(Dec) revenue of $296.4M, in line with preliminary guidance of $294.0M-$297.0M. Ongoing industry headwinds, including channel digestion and elongated sales cycles, continue to weigh on Extreme's hardware business. Multiple large deals pushed out to future quarters. Revenue contraction of 7% in the quarter was driven by a 16% y/y decrease in Product revenue, while Services posted growth of 16%. NG EPS of $0.24 was slightly below consensus of $0.25. Extreme guided Q3'24 revenue to a midpoint of $205.0M vs consensus of $321.4M. The company expects Q4 to show sequential growth as inventory levels show improvement but midpoint revenue of $270M is expected to be well below the $355M consensus. The company forecasts gross margin in the range of 59.5%-61.5% for Q3'24 and a NG EPS loss of ($0.22)-($0.17).

	This Quarter		Next Quarter		FY24	
	Actual	Consensus	Guidance	Consensus	Guidance	Consensus
Rev, M	$296.4	$303.0	$200-$210	$321.4	$1,115-$1.135	$1,333
Adj. EPS	$0.24	$0.25	($0.22)-($0.17)	$0.28	NA	$1.24

Source: Extreme Networks, FactSet

- **Balance Sheet, Buyback –** The company ended Q2 with a cash balance of $221M and with gross debt of $195M. During the quarter, cash from operations totaled $34M, with FCF totaling $29M. The company spent

Changes	Previous	Current
Rating:	--	Hold
Price Target:	$17	$13
FY24E Rev M:	$1,312	$1,125
FY25E Rev M:	$1,312	$1,160
FY24E EPS*:	$1.09	$0.59
FY25E EPS*:	$1.23	$0.84

Profile	
Price (intraday):	$13.30
Shares Out (M):	131.5
Market Cap (M):	$1,749
Avg Daily Vol (M):	2,435,572
Insiders Own:	3%
Short Int, (M)/% of Float:	13.0 / 10%
Tan. Book Val/Sh:	($3.80)
Net Cash /Sh:	$0.20
Div / Yield:	NA / NA

Rev (M)	2023A	2024E	2025E
Sep	$298	$353A	$275
Dec	$318	$296A	$287
Mar	$333	$205	$283
Jun	$364	$270	$315
FY	$1,312	$1,125	$1,160
CY	$1,346E	$1,037	NA

EPS*	2023A	2024E	2025E
Sep	$0.20	$0.35A	$0.14
Dec	$0.27	$0.24A	$0.21
Mar	$0.29	($0.17)	$0.20
Jun	$0.33	$0.16	$0.28
FY	$1.09	$0.59	$0.84
CY	$1.21E	$0.35	NA

* ex items

Valuation	2023A	2024E	2025E
EV/Rev, CY	1.3x	1.7x	NA
P/E, CY	11x	38x	NA

Management	
Ch	John Shoemaker
P/CEO	Ed Meyercord
CFO	Kevin Rhodes

Company Description

Provides wired and wireless enterprise network equipment deployed from the network edge, to the data center, to the cloud. Also, develops software used for network management, security, and analytics.

$25M repurchasing 1.5M shares ($16.81/share). We expect the company to continue to put cash to work on both debt paydown and share repurchases.

- **Metrics –** Extreme continued its strong traction in cloud networking with SaaS ARR exiting the quarter at $158M, up 37%, vs $115M a year ago. SaaS deferred revenue grew to $246M, up 32% y/y, vs $187M last year. Recurring revenue is expected to represent 35% of total revenue in FY24.

INVESTMENT THESIS & VALUATION

Extreme Networks acquired Aerohive Networks in 2019 and has integrated the product into the Extreme family, creating a state-of-the-art cloud-based network management console. According to 650 Group, Extreme is the second leading vendor in the cloud-managed network services market, ahead of Juniper and HPE, and trailing only Cisco. Extreme is in the process of scaling its business and executing a new software and subscription-based revenue model. We see Extreme as a legitimate top player in the enterprise networking space and a name that will continue to take share.

Price Target – Our $13 price target is based on a P/E multiple of 15x our $0.84 FY25 NG EPS estimate.

RISKS

An investment in Extreme Networks involves the following risks:

- **Competition** – Intense competition in the market for networking equipment and cloud platform companies could prevent Extreme from increasing revenue and attaining profitability. Competitors include Cisco, Dell EMC, HPE, Huawei, Arista Networks, Arris Corporation, and Juniper Networks.
- **Geographic Exposure** – Extreme generated 50% of its revenue from countries outside the Americas in FY23. Political and economic instability in these countries would have a negative impact on the company.
- **Acquisitions** – The company has made clear its intent to growth through acquisitions (Aerohive, Ipanema). There can be no assurance such acquisitions will be accretive.
- **Government/Education Vertical** – About 40% of Extreme revenue comes from state & local government and education. Soft demand from this vertical would have a greater negative effect on Extreme than on competitors.

Eric Martinuzzi, CFA | 612-326-1315 | eric.martinuzzi@lakestreetcm.com

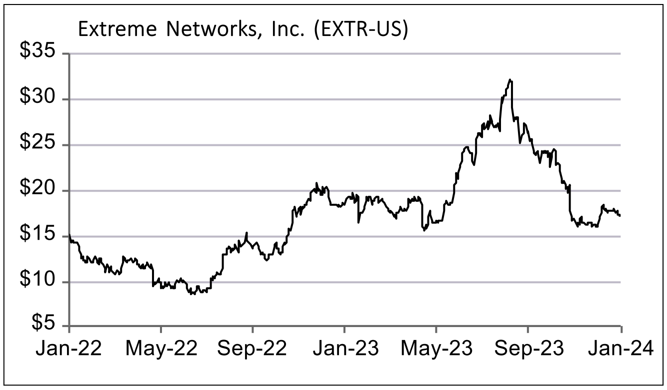
FINANCIAL MODEL

Extreme Networks, Inc

Fiscal Year Ends June	2022A	Sep22A	Dec22A	Mar23A	Jun23A	2023A	Sep23A	Dec23A	Mar24E	Jun24E	2024E	Sep24E	Dec24E	Mar25E	Jun25E	2025E
Prod Backlog	**$513**	$555	$542	$438	$267	**$267**										
Subscription ARR Gr%				*22%*	*25%*		*32%*	*37%*								
Income Statement $M:																
Product	**$761.7**	$206.3	$223.4	$241.1	$261.7	**$932.5**	$253.5	$186.6	$100.0	$164.0	**$704.1**	$170.1	$180.9	$175.0	$204.2	**$730.3**
Subscription and Support	**$350.6**	$91.4	$94.9	$91.4	$102.2	**$380.0**	$99.7	$109.8	$105.1	$106.3	**$420.9**	$104.6	$106.4	$108.4	$110.7	**$430.1**
Revenue	**$1,112.3**	**$297.7**	**$318.3**	**$332.5**	**$363.9**	**$1,312.5**	**$353.1**	**$296.4**	**$205.1**	**$270.3**	**$1,124.9**	**$274.7**	**$287.3**	**$283.4**	**$314.9**	**$1,160.4**
Adj Cost of product	**342.0**	95.1	98.9	104.5	111.3	**409.8**	106.9	80.4	46.3	72.2	**305.8**	73.8	70.0	67.7	78.0	**289.6**
Adj Cost of service	**121.1**	31.2	33.1	31.7	33.7	**129.7**	30.5	30.8	34.7	34.1	**130.1**	34.5	35.1	35.8	35.3	**140.7**
Adj Cost of revenues	**463.1**	126.3	132.0	136.1	145.0	**539.5**	137.4	111.2	81.0	106.2	**435.9**	108.4	105.1	103.5	113.4	**430.3**
Adj Gross Profit	**649.2**	171.3	186.3	196.4	218.9	**773.0**	215.7	185.2	124.1	164.1	**689.1**	166.4	182.2	179.9	201.5	**730.0**
Adj gross margin	***58.4%***	*57.6%*	*58.5%*	*59.1%*	*60.2%*	***58.9%***	*61.1%*	*62.5%*	*60.5%*	*60.7%*	***61.3%***	*60.6%*	*63.4%*	*63.5%*	*64.0%*	***62.9%***
Adj R&D	**180.6**	47.9	48.7	51.0	51.9	**199.4**	53.6	48.4	48.4	43.4	**193.8**	49.0	49.5	50.0	50.0	**198.5**
Adj S&M	**279.5**	73.7	74.6	78.2	88.1	**314.7**	84.9	77.6	79.5	75.0	**317.0**	73.8	76.1	75.1	83.4	**308.5**
Adj G&A	**52.9**	13.5	15.7	15.2	15.5	**59.9**	14.6	17.6	17.6	15.6	**65.5**	16.6	17.1	17.1	17.1	**67.9**
Total adj Op ex	**513.0**	135.2	139.0	144.4	155.5	**574.0**	153.2	141.2	145.5	134.0	**574.0**	139.4	142.7	142.2	150.6	**574.9**
Adj operating income	**136.2**	**36.2**	**47.3**	**52.0**	**63.4**	**198.9**	**62.491**	**43.9**	**(21.4)**	**30.1**	**115.1**	**27.0**	**39.4**	**37.7**	**51.0**	**155.1**
Adj operating margin	**12.2%**	12.1%	14.9%	15.6%	17.4%	**15.2%**	17.7%	14.8%	-10.4%	11.1%	**10.2%**	9.8%	13.7%	13.3%	16.2%	**13.4%**
Other (expense) income	**(12.0)**	(3.1)	(2.9)	(3.5)	(3.2)	**(12.7)**	(2.7)	(3.3)	(3.0)	(3.0)	**(11.9)**	(3.0)	(3.0)	(3.0)	(3.0)	**(12.0)**
adj Pre-tax income	**124.2**	33.1	44.5	48.5	60.2	**186.3**	59.8	40.7	(24.4)	27.1	**103.2**	24.0	36.4	34.7	48.0	**143.1**
adj Tax	**20.7**	6.0	8.0	9.7	16.3	**40.0**	13.3	9.2	(3.0)	6.0	**25.4**	5.3	8.0	7.6	10.6	**31.5**
Adj Net Income	**103.5**	**27.1**	**36.5**	**38.8**	**43.9**	**146.3**	**46.5**	**31.5**	**(21.4)**	**21.1**	**77.8**	**18.7**	**28.4**	**27.1**	**37.4**	**111.6**
EPS	**$0.34**	**$0.09**	**$0.14**	**$0.17**	**$0.20**	**$0.60**	**$0.22**	**$0.03**	**($0.46)**	**$0.05**	**($0.16)**	**$0.03**	**$0.10**	**$0.09**	**$0.17**	**$0.40**
Adj EPS	**$0.77**	**$0.20**	**$0.27**	**$0.29**	**$0.33**	**$1.09**	**$0.35**	**$0.24**	**($0.17)**	**$0.16**	**$0.59**	**$0.14**	**$0.21**	**$0.20**	**$0.28**	**$0.84**
Diluted	133.5	132.9	134.5	133.0	132.9	133.6	133.5	131.5	129.0	131.5	131.4	131.9	132.3	132.7	133.1	132.5
CY Revenues	**$1,179.7**					**$1,345.9**					**$1,037.5**					
Yr/Yr Growth	*9.2%*					*14.1%*					*-22.9%*					
CY Adj EPS	**$0.83**					**$1.21**					**$0.35**					
Margin Analysis:																
Adj Gross Margin	**58.4%**	57.6%	58.5%	59.1%	60.2%	**58.9%**	61.1%	62.5%	60.5%	60.7%	**61.3%**	60.6%	63.4%	63.5%	64.0%	**62.9%**
Adj Product Margin	**55.1%**	53.9%	55.7%	56.7%	57.5%	**56.0%**	57.8%	56.9%	53.7%	56.0%	**56.6%**	56.6%	61.3%	61.3%	61.8%	**60.3%**
Adj Service Margin	**65.4%**	65.8%	65.1%	65.4%	67.0%	**65.9%**	69.4%	72.0%	67.0%	67.9%	**69.1%**	67.0%	67.0%	67.0%	68.1%	**67.3%**
Adj R&D	**16.2%**	16.1%	15.3%	15.3%	14.3%	**15.2%**	15.2%	16.3%	23.6%	16.1%	**17.2%**	17.8%	17.2%	17.6%	15.9%	**17.1%**
Adj S&M	**25.1%**	24.8%	23.4%	23.5%	24.2%	**24.0%**	24.1%	26.2%	38.8%	27.7%	**28.2%**	26.9%	26.5%	26.5%	26.5%	**26.6%**
Adj G&A	**4.8%**	4.5%	4.9%	4.6%	4.3%	**4.6%**	4.1%	5.9%	8.6%	5.8%	**5.8%**	6.0%	6.0%	6.0%	5.4%	**5.9%**
Adj OM	**12.2%**	12.1%	14.9%	15.6%	17.4%	**15.2%**	17.7%	14.8%	-10.4%	11.1%	**10.2%**	9.8%	13.7%	13.3%	16.2%	**13.4%**
Revenue Change (Yr/Yr):																
Product	**8.9%**	11%	17%	22%	40%	**22.4%**	23%	-16%	-59%	-37%	**-24.5%**	-33%	-3%	75%	25%	**3.7%**
Service	**13.1%**	11%	6%	5%	12%	**8.4%**	9%	16%	15%	4%	**10.8%**	5%	-3%	3%	4%	**2.2%**
Revenue	**10.2%**	11%	13%	16%	31%	**18.0%**	19%	-7%	-38%	-26%	**-14.3%**	-22%	-3%	38%	16%	**3.1%**
Balance Sheet/Cash Flow $M:																
Cash		198	203	203	235		224	221								
Debt, ST & LT unamort issuance costs		4	4	3	3		3	3								
Debt		267	258	234	222		195	192								
Net Cash		($73)	($60)	($34)	$10		$27	$27								
Deferred Rev		424	446	464	501		525	548								
DSO		48	43	43	45		34	34								
CFO	**128**	49	71	48	81	**203**	76	34								
Cap ex	**(15)**	(3)	(3)	(2)	(5)	**(13)**	(4)	(6)								
FCF	**113**	46	68	46	76	**190**	71	29								

Eric Martinuzzi, CFA | 612-326-1315 | eric.martinuzzi@lakestreetcm.com

IMPORTANT DISCLOSURES



Source: FactSet

February 24, 2021 – Rating: Buy – Price Target: $12
April 28, 2021 – Rating: Buy – Price Target: $13
May 27, 2021 – Rating: Buy – Price Target: $14
November 2, 2021 – Rating: Buy – Price Target: $16
March 17, 2022 – Rating: Buy – Price Target: $17
April 27, 2022 – Rating: Buy – Price Target: $14
July 27, 2022 – Rating: Buy – Price Target: $15
October 27, 2022 – Rating: Buy – Price Target: $19
January 25, 2023 – Rating: Buy – Price Target: $20
June 13, 2023 – Rating: Buy – Price Target: $27
August 2, 2023 – Rating: Buy – Price Target: $33
November 1, 2023 – Rating: Hold – Price Target: $19
January 9, 2024 – Rating: Hold – Price Target: $17
January 31, 2024 – Rating: Hold – Price Target: $13

RATINGS DEFINITION

Buy rated stocks are expected to generate greater than 10% returns during the next 12 months. **Hold** rated stocks are expected to generate returns of 0% to 10% during the next 12 months. **Sell** rated stocks are expected to generate negative returns over the next 12 months and generally do not have a price target.

Information on our valuation methodology and risks can be found in the "Investment Thesis & Valuation" and "Risks" sections.

RATINGS DISTRIBUTION

(as of December 11, 2023)

Rating	All Covered Companies (%)	Investment Banking Clients (%)
Buy	92.1%	11.7%
Hold	7.9%	7.1%
Sell	0.0%	0.0%

RESEARCH DISCLOSURES

Lake Street Capital Markets, or its affiliates, intends to seek or expects to receive compensation for investment banking services from the subject issuer in the next three months.

The authoring analysts who are responsible for the preparation of this investment research are eligible for compensation based on the total revenue and general profitability of Lake Street Capital Markets, which includes investment banking revenue. However, such authoring analyst will not receive compensation that is directly based on or linked to specific investment banking transactions.

ANALYST CERTIFICATION – REGULATION AC

Each authoring analyst of Lake Street Capital Markets whose name appears on the front page of this investment research hereby certifies that (1) the recommendations and opinions expressed in this investment research accurately reflect the authoring analyst's personal, independent, and objective views about any and all of the subject investments or issuers discussed herein; and (2) no part of the authoring analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by the authoring analysts.

OTHER DISCLOSURES

This investment research is intended for informational purposes only and does not constitute an offer or solicitation to buy or sell securities referenced herein in any jurisdiction where such would be prohibited. Although the information and statements of fact contained in this investment research have been obtained from sources we believe to be reliable, including statistical services and issuer statements & reports, its accuracy and completeness cannot be guaranteed. The securities discussed and any recommendations made herein may not be suitable for all investors depending on their specific financial position or investment objectives. This investment research and any opinions, recommendations, and estimates contained here represent Lake Street Capital Market's judgment as of the date of this report and are subject to change without notice. Lake Street Capital Markets may effect transactions as a principal or agent in the securities mentioned herein. Additional information available on request. Member FINRA / SIPC. This report may not be reproduced, distributed, or published without the prior consent of Lake Street Capital Markets,

Eric Martinuzzi, CFA | 612-326-1315 | eric.martinuzzi@lakestreetcm.com